

SMID BREAKOUT SCANNER

MARKET OPEN

July 28, 2026 | 10:11 AM ET

12 setups identified | 4 A-Grade | 5 B-Grade | 3 C-Grade

Grade Summary

A - Breakout Setup (4)	B - Strong Setup (5)	C - Watch List (3)
KNSA	PRLD	LVWR
FTRE	ITRI	FOUR
PRK	RGEN	SSD
PJT	FSUN	
	AWI	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	KNSA	Kiniksa Pharmace	Specialty Pharma	\$77.45	+21.9%	\$6.0B	42M	+40.0	94%	Breakout driven by ear
A	FTRE	Fortrea Holdings	Clinical Research	\$20.63	+7.5%	\$1.9B	94M	+87.9	99%	Breakout into all-time
A	PRK	Park National Co	Regional Bank	\$201.67	+6.5%	\$3.6B	16M	+11.7	99%	Breakout to new all-ti
A	PJT	PJT Partners Inc	M&A Advisory	\$175.77	+4.1%	\$7.2B	24M	+11.1	90%	Breakout on earnings r
B	PRLD	Prelude Therapeu	Oncology Biotech	\$4.79	+23.1%	\$0.4B	28M	+5.3	84%	Massive volume surge (
B	ITRI	Itron, Inc.	Smart Grid Tech	\$104.30	+23.0%	\$4.6B	44M	+16.1	74%	Breakout driven by ear
B	RGEN	Repligen Corpora	Bioprocessing Too	\$151.13	+15.3%	\$8.5B	53M	+24.9	86%	Breakout on earnings r
B	FSUN	FirstSun Capital	Regional Bank	\$37.60	+8.0%	\$1.8B	37M	-3.1	89%	Breakout driven by Fin
B	AWI	Armstrong World	Building Products	\$182.71	+10.6%	\$7.8B	42M	+4.0	89%	Breakout on earnings r
C	LVWR	LiveWire Group,	EV Motorcycles	\$2.86	+17.5%	\$0.6B	13M	+36.8	44%	Massive volume surge (
C	FOUR	Shift4 Payments,	Payment Processin	\$52.24	+4.5%	\$5.2B	43M	+9.2	49%	Moderate volume uptick
C	SSD	Simpson Manufact	Structural Connec	\$206.98	+7.1%	\$8.5B	41M	+4.6	97%	Breakout to near-all-t

SETUP METRICS	
Price	\$77.45
Day Change	+21.90%
Mkt Cap	\$5.96B
Float	42M sh
RS vs SPY	+40.0%
52W Hi Prox	94%
Base Tight	5.35
Vol vs Avg	5.17x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout driven by earnings release today (July 28). Forward catalyst: commercial execution updates and potential label expansion or partnership news for its autoinflammatory pipeline over the next quarter, with next earnings cycle in late October providing reaffirmation of revenue trajectory.
BUSINESS & POSITION
Kiniksa is a commercial-stage biopharmaceutical company focused on autoinflammatory and autoimmune diseases, with approved therapies targeting rare conditions including recurrent pericarditis and Still's disease. The company has transitioned from development to commercial execution, commanding premium valuation as it scales revenue from niche, high-margin indications.
FACTOR & THEME
Taps specialty pharma and rare disease themes, benefiting from pricing power in underserved markets and potential M&A interest as larger pharma seek bolt-on rare-disease assets. Theme momentum is stable, driven by durable tailwinds in precision medicine and orphan drug economics.
BREAKOUT SIGNAL
Close above \$77.45 on vol >500% of 20d avg
INSTITUTIONAL
Volume at 5.17x average on earnings day signals institutional participation, though not the explosive block-buying characteristic of A+ setups. No insider buying in the last 90 days; institutional ownership data not available from this feed-recommend cross-referencing 13F filings. The RS line at 52-week high is the key institutional confirmation signal, indicating smart money has been positioning ahead of today's print.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings reported today (July 28). Historical beat/miss pattern and consensus estimates not provided; evaluate post-print guidance and revenue growth trajectory to confirm commercial inflection.
KEY RISK
Thesis invalid on a close back below the \$72.00 pivot (prior resistance), or on any guidance cut or commercial execution miss disclosed in today's earnings call that signals slower-than-expected adoption.
ANALYSIS
RS line at new high + proximity to 52W high (94.5) + massive volume surge on earnings day meet the Qullamaggie A-grade criteria. Strongest disconfirming evidence: base_tight at 5.35 is wider than ideal (VCP standard <2.0), and earnings today means the primary catalyst has now been consumed-follow-through depends entirely on guidance quality and revenue visibility, which is binary and unknowable pre-call. In a mixed/transitional macro regime, post-earnings breakouts carry elevated failure risk. Conviction: Medium.
Signal: Close above \$77.45 on vol >500% of 20d avg
Vol vs Avg: 5.17x



SETUP METRICS	
Price	\$20.63
Day Change	+7.45%
Mkt Cap	\$1.95B
Float	94M sh
RS vs SPY	+87.9%
52W Hi Prox	99%
Base Tight	3.55
Vol vs Avg	2.36x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER Breakout into all-time high territory ahead of earnings tomorrow (July 29). Forward catalyst: earnings print itself is the immediate binary event; beyond that, contract wins, biotech funding cycle recovery, and potential M&A as a carved-out CRO asset from Labcorp in 2023 now trading at depressed valuation.
BUSINESS & POSITION Fortrea is a global contract research organization (CRO) spun out from Labcorp in 2023, providing clinical development and patient access services to biopharma clients. The company benefits from secular tailwinds in outsourced drug development, with competitive positioning in decentralized trials and real-world evidence.
FACTOR & THEME Exposed to biotech funding recovery and pharma R&D outsourcing trends. The +87.9% relative strength vs SPY signals this is one of the strongest momentum names in the entire healthcare complex. Theme momentum is accelerating as biotech IPO/funding windows reopen and large pharma prioritize variable-cost R&D models.
BREAKOUT SIGNAL Close above \$20.63 on vol >236% of 20d avg
INSTITUTIONAL Volume at 2.36x on a pre-earnings setup is constructive but not extreme; institutions are positioning cautiously ahead of the print. No insider buying in the last 90 days. The RS line at 52-week high is critical-this is an institutional leadership signal, showing smart money has been accumulating aggressively through the entire recovery from the \$5.26 low. Large float (93.7M) suggests liquid institutional vehicle.
EARNINGS EARNINGS IN 1D
EARNINGS CONTEXT Earnings tomorrow (July 29). Consensus estimates not provided; prior quarters' beat/miss history is essential to assess whether this is a serial beater that re-rates higher. The pre-earnings gap-up to new highs suggests whisper numbers are strong or a positive pre-announcement has leaked.
KEY RISK Thesis invalid on a close back below \$19.00 (approximate prior consolidation), or on any revenue guidance miss or margin compression disclosed in tomorrow's report that signals biotech funding headwinds persist.
ANALYSIS RS line at new high + proximity to 52W high (98.7) + extreme relative strength (+87.9 vs SPY, top decile) + earnings catalyst tomorrow meet A-grade criteria. Strongest disconfirming evidence: earnings in 1 day is a binary coin-flip-this is not a durable forward-catalyst path but rather a single event that could gap the stock in either direction. The entire thesis hinges on tomorrow's print and guidance; there is no incremental catalyst visible beyond that unless they announce a transformational contract or M&A. In a mixed macro regime, pre-earnings gaps are high-risk. Conviction: Medium.
Signal: Close above \$20.63 on vol >236% of 20d avg Vol vs Avg: 2.36x



PRK

Park National Corporation

\$201.67

+6.51%

RS vs SPY: +11.7%

A BREAKOUT

\$3.6B Cap | 16M Float

Banks - Regional | Theme: Regional Bank | 52W Hi: 99% | Base Tight: 3.84 | Vol: 2.56x | RS/SPY: +11.7% | Above 20MA: YES | EARNINGS IN 90D

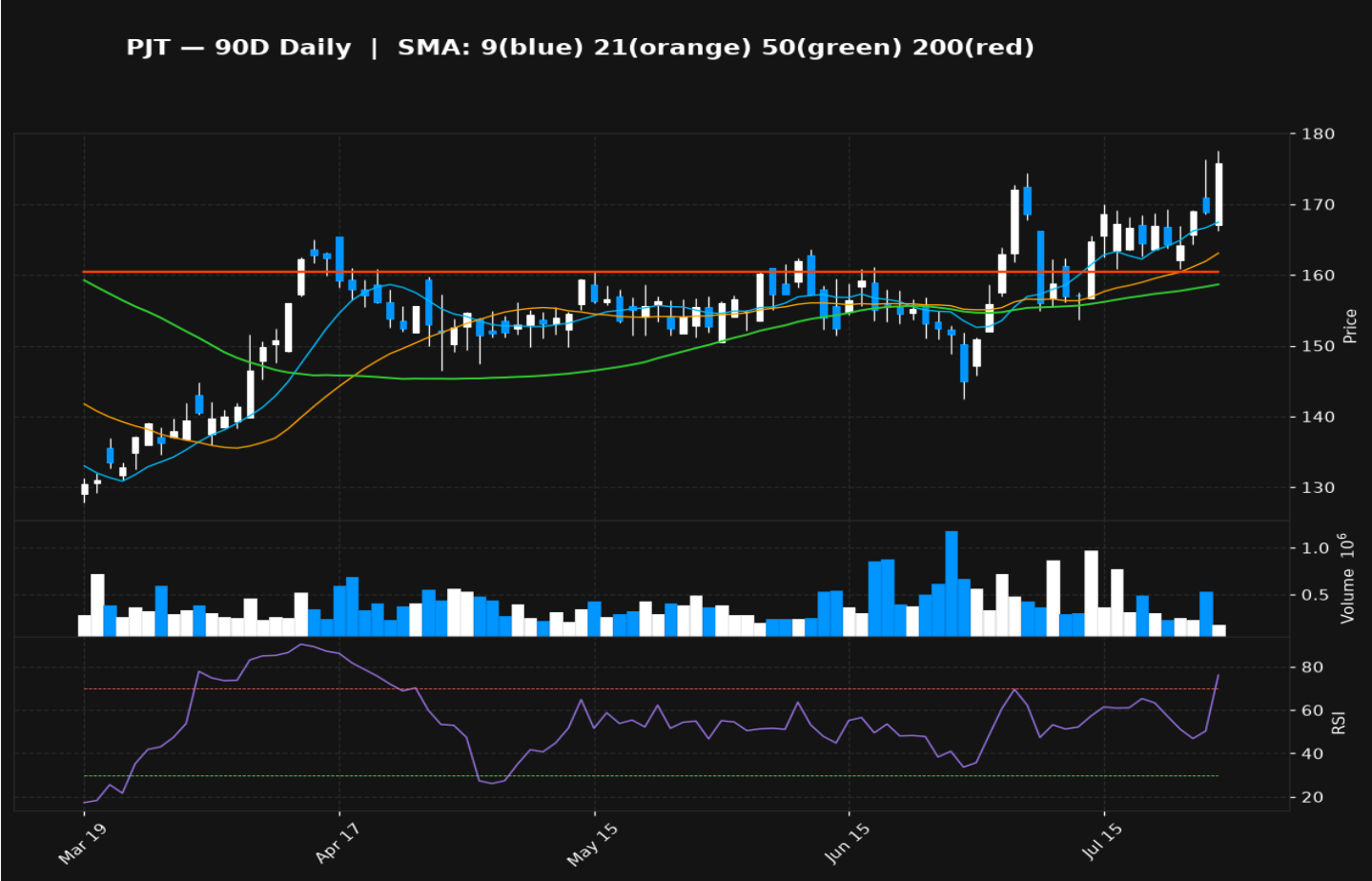
SETUP METRICS	
Price	\$201.67
Day Change	+6.51%
Mkt Cap	\$3.65B
Float	16M sh
RS vs SPY	+11.7%
52W Hi Prox	99%
Base Tight	3.84
Vol vs Avg	2.56x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout to new all-time highs on sector rotation into Financials (second-best performing sector this week at +8.0% vs SPY). Forward catalyst: sustained regional bank rally driven by net interest margin expansion expectations, potential M&A as a takeout candidate given \$3.65B market cap and clean balance sheet, and next earnings in late October to confirm credit quality and deposit stability.
BUSINESS & POSITION
Park National is a regional bank holding company operating community banks primarily in Ohio and the Carolinas, with a focus on traditional relationship banking and commercial lending. The company benefits from a fortress balance sheet, conservative underwriting, and potential re-rating as investor confidence in regional banks recovers post-2023 crisis.
FACTOR & THEME
Direct exposure to regional bank recovery theme and Financials sector leadership. Theme momentum is accelerating as yield curve dynamics improve and credit concerns fade. Also a beneficiary of potential M&A consolidation as larger regionals seek to build scale in underpenetrated Sunbelt markets.
BREAKOUT SIGNAL
Close above \$201.67 on vol >256% of 20d avg
INSTITUTIONAL
Volume at 2.56x on a sector-rotation day is solid but not extraordinary; this appears to be broad-based buying rather than a single large block. No insider buying in the last 90 days. The RS line at 52-week high confirms institutional accumulation through the entire regional bank recovery. Small float (16.2M) provides favorable float rotation dynamics-less stock to absorb on sustained buying. Sector bonus: Financials +8.0% vs SPY this week justifies upgrading setup quality by half a grade.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next earnings October 26 (90 days out). This is a strength-plenty of runway for technical follow-through before the next binary event. Historical performance not provided; regional banks typically valued on tangible book, loan growth, and credit quality rather than EPS beats.
KEY RISK
Thesis invalid on a close back below \$195.00 (prior all-time high resistance), or on any sector-wide credit deterioration headlines (CRE stress, deposit flight resumption) that reignite regional bank contagion fears.
ANALYSIS
RS line at new high + proximity to 52W high (99.0, essentially at all-time highs) + sector leadership (Financials +8.0%) + durable forward catalyst path (90 days to next earnings, M&A optionality) meet A-grade criteria. Strongest disconfirming evidence: absolute RS vs SPY is modest at +11.7, and base_tight at 3.84 is wider than textbook VCP. This is a sector-driven breakout, not a company-specific catalyst-if Financials sector rotation reverses, PRK will follow the group down. In a mixed macro regime, sector rotations are fragile. Conviction: Medium.
Signal: Close above \$201.67 on vol >256% of 20d avg
Vol vs Avg: 2.56x



SETUP METRICS	
Price	\$175.77
Day Change	+4.12%
Mkt Cap	\$7.17B
Float	24M sh
RS vs SPY	+11.1%
52W Hi Prox	90%
Base Tight	1.65
Vol vs Avg	2.48x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout on earnings release today (July 28), likely driven by strong M&A advisory fees as corporate deal activity rebounds. Forward catalyst: sustained M&A cycle recovery driven by CEO confidence and lower financing costs, plus potential special dividend or buyback announcements given capital-light business model.
BUSINESS & POSITION
PJT Partners is a boutique investment bank focused on strategic advisory (M&A, activism defense, restructuring) and secondary advisory/placement services. The firm benefits from a recession-resistant revenue mix (restructuring offsets M&A cyclicality) and operates with high incremental margins, converting revenue growth directly to EPS.
FACTOR & THEME
Pure-play exposure to M&A cycle recovery and Financials sector leadership (+8.0% vs SPY this week). Theme momentum is accelerating as corporate boardrooms re-engage on strategic transactions after a two-year freeze. PJT's boutique positioning captures premium fees on large, complex deals.
BREAKOUT SIGNAL
Close above \$175.77 on vol >248% of 20d avg
INSTITUTIONAL
Volume at 2.48x on earnings day is constructive. No insider buying in the last 90 days. The base_tight reading of 1.65 is textbook VCP-quality-this is the tightest coil in the entire candidate set, signaling institutions were quietly absorbing supply ahead of the print. Sector bonus: Financials +8.0% vs SPY justifies elevated conviction. Small float (24.0M) relative to market cap supports sustained move on incremental buying.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings reported today (July 28). Consensus and beat history not provided; advisory firms are valued on deal pipeline and fee monetization rather than quarterly EPS precision. The 4.12% gap-up suggests a solid beat or strong forward commentary on deal backlog.
KEY RISK
Thesis invalid on a close back below \$170.00 (approximate breakout pivot), or on any guidance suggesting M&A pipeline is peaking or restructuring fees are declining faster than M&A is accelerating.
ANALYSIS
Base_tight at 1.65 (best in set, textbook VCP) + prox_52w at 89.9 + sector leadership + earnings catalyst today meet A-grade criteria despite RS line not at new high. Strongest disconfirming evidence: earnings today means primary catalyst is consumed; follow-through depends entirely on guidance quality and whether the M&A pipeline commentary justifies further re-rating. RS line NOT at new high is a yellow flag-institutions have not yet confirmed this as a leadership position vs. the broader market. In a mixed macro, post-earnings breakouts without RS line confirmation are fragile. Conviction: Medium.
Signal: Close above \$175.77 on vol >248% of 20d avg
Vol vs Avg: 2.48x



PRLD

Prelude Therapeutics Incorporat

\$4.79

+23.12%

RS vs SPY: +5.3%

B STRONG SETUP

\$0.4B Cap | 28M Float

Biotechnology | Theme: Oncology Biotech | 52W Hi: 84% | Base Tight: 2.56 | Vol: 13.67x | RS/SPY: +5.3% | Above 20MA: YES | EARNINGS IN 16D

SETUP METRICS	
Price	\$4.79
Day Change	+23.12%
Mkt Cap	\$0.38B
Float	28M sh
RS vs SPY	+5.3%
52W Hi Prox	84%
Base Tight	2.56
Vol vs Avg	13.67x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Massive volume surge (13.67x) suggests news catalyst-likely clinical trial data readout, partnership announcement, or analyst upgrade. Forward catalyst: earnings in 16 days (August 13) will provide pipeline updates and cash runway visibility; potential data presentations at oncology conferences (ESMO, ASH) later in the year.
BUSINESS & POSITION
Prelude Therapeutics is a clinical-stage precision oncology company developing targeted therapies against kinase and transcription factor targets. The company is pre-revenue, valued on pipeline optionality and partnership potential as larger pharma seek novel oncology mechanisms.
FACTOR & THEME
Exposed to biotech recovery and oncology M&A themes. Small-cap biotech has lagged the broader recovery, creating asymmetric upside if risk-on sentiment returns. Theme momentum is mixed-biotech funding has improved but remains well below 2021 peaks.
BREAKOUT SIGNAL
Close above \$4.79 on vol >1367% of 20d avg
INSTITUTIONAL
Volume at 13.67x is extreme and suggests a major catalyst (data release, partnership, or short squeeze on the tiny float). No insider buying in the last 90 days, which is a yellow flag for a clinical-stage biotech-insiders typically load up ahead of positive data if they have conviction. Institutional ownership data not available; small float (27.6M) and \$380M market cap suggest limited institutional sponsorship and high volatility.
EARNINGS
EARNINGS IN 16D
EARNINGS CONTEXT
Earnings August 13 (16 days). For a pre-revenue biotech, earnings are irrelevant except for cash runway updates. Consensus EPS is likely deeply negative; focus is on pipeline milestones and burn rate.
KEY RISK
Thesis invalid on a close back below \$4.00 (approximate pre-spike base), or on any negative clinical trial data or FDA feedback disclosed at the August 13 update. Pre-revenue biotech carries binary clinical risk.
ANALYSIS
Explosive volume (13.67x, highest in set) + 23% gain + prox_52w at 84.2 signal a major catalyst, but RS line NOT at new high and base_tight at 2.56 (not VCP-quality) prevent A-grade. Strongest disconfirming evidence: no insider buying in 90 days for a clinical-stage biotech is a red flag-insiders should be buying ahead of positive data if they have conviction. RS vs SPY at only +5.3 suggests this is a one-day event pop, not sustained institutional accumulation. In a mixed macro, speculative micro-cap biotech without insider validation is high-risk. Conviction: Low.
Signal: Close above \$4.79 on vol >1367% of 20d avg
Vol vs Avg: 13.67x



Setup Metrics	
Price	\$104.30
Day Change	+23.02%
Mkt Cap	\$4.62B
Float	44M sh
RS vs SPY	+16.1%
52W Hi Prox	74%
Base Tight	6.71
Vol vs Avg	9.11x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Breakout driven by earnings release today (July 28), likely a strong beat on smart meter deployments and Energy sector tailwinds (+11.8% vs SPY this week, best-performing sector). Forward catalyst: utility infrastructure spending cycle driven by grid modernization mandates and renewable integration, with visibility into multi-year meter replacement contracts.
Business & Position
Itron provides smart metering, data analytics, and grid management solutions for utilities globally. The company benefits from secular tailwinds in grid modernization, AMI (advanced metering infrastructure) deployments, and regulatory mandates for meter upgrades across North America and Europe.
Factor & Theme
Direct exposure to energy infrastructure and grid modernization themes. Energy is the top-performing sector this week (+11.8%), providing strong sector tailwinds. Theme momentum is accelerating as utilities face regulatory pressure to upgrade aging infrastructure and integrate distributed energy resources.
Breakout Signal
Close above \$104.30 on vol >911% of 20d avg
Institutional
Volume at 9.11x on earnings day is institutional-grade. No insider buying in the last 90 days. The massive gap-up on earnings suggests a significant beat and/or raised guidance on backlog visibility. Sector bonus: Energy +11.8% vs SPY justifies elevated setup quality. Mid-cap at \$4.62B with liquid float (43.6M) provides institutional-friendly trading dynamics.
Earnings
Earnings Today
Earnings Context
Earnings reported today (July 28). The 23% gap-up suggests a major beat and likely raised full-year guidance on utility contract momentum. Historical beat pattern not provided but the market reaction implies positive earnings surprise history.
Key Risk
Thesis invalid on a close back below \$95.00 (approximate gap-up fill level), or on any guidance suggesting utility spending is peaking or international exposure (Europe) is deteriorating due to macro headwinds.
Analysis
Explosive volume (9.11x) + top sector leadership (Energy +11.8%) + 23% gap on earnings meet most A-grade criteria, but prox_52w at only 73.5 and base_tight at 6.71 (wide, not VCP-quality) downgrade to B. Strongest disconfirming evidence: RS line NOT at new high means institutions have not confirmed this as a sustained leadership position. The stock is still 26.5% below its 52-week high despite today's massive move, suggesting it's recovering from a prior breakdown rather than making new leadership highs. Earnings catalyst is now consumed; follow-through depends on guidance and whether utility spending cycle is durable. Conviction: Medium.
Signal: Close above \$104.30 on vol >911% of 20d avg
Vol vs Avg: 9.11x



SETUP METRICS	
Price	\$151.13
Day Change	+15.31%
Mkt Cap	\$8.52B
Float	53M sh
RS vs SPY	+24.9%
52W Hi Prox	86%
Base Tight	3.09
Vol vs Avg	2.8x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout on earnings release today (July 28), likely driven by a beat on bioprocessing equipment sales as biopharma capex recovers. Forward catalyst: sustained biotech funding recovery and large pharma manufacturing capacity additions for cell/gene therapies and mRNA platforms over the next 12-18 months.
BUSINESS & POSITION
Repligen supplies consumables and equipment for bioprocessing workflows (chromatography, filtration, analytics) used in biologics manufacturing. The company is a picks-and-shovels play on the broader biopharma production cycle, benefiting from secular growth in biologics, cell therapies, and mRNA vaccines.
FACTOR & THEME
Exposed to biotech funding recovery and biomanufacturing capacity expansion themes. The +24.9% RS vs SPY signals strong momentum vs. the broader market. Theme momentum is accelerating as biopharma capex recovers from the 2022-2023 digestion cycle and new modalities (gene therapy, mRNA) require new manufacturing infrastructure.
BREAKOUT SIGNAL
Close above \$151.13 on vol >280% of 20d avg
INSTITUTIONAL
Volume at 2.8x on earnings day is solid institutional participation. No insider buying in the last 90 days. The 15% gap-up on earnings suggests a significant beat and likely commentary that the bioprocessing equipment market has inflected back to growth. Large-cap at \$8.52B with liquid float (53.4M) provides institutional-grade vehicle.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings reported today (July 28). The market reaction implies a beat on both revenue and guidance, likely with positive commentary on order backlog and biotech capex trends reversing. Historical context not provided.
KEY RISK
Thesis invalid on a close back below \$142.00 (approximate breakout level), or on any guidance suggesting biopharma capex recovery is stalling or inventory digestion at customers is extending beyond current estimates.
ANALYSIS
Strong RS vs SPY (+24.9) + prox_52w at 86.0 + earnings beat today meet most A-grade criteria, but RS line NOT at new high and base_tight at 3.09 (not VCP-quality) downgrade to B. Strongest disconfirming evidence: earnings catalyst is now consumed, and the forward catalyst (biotech capex recovery) is a multi-quarter macro theme rather than a near-term company-specific event. The stock is still 14% below its 52-week high, suggesting recovery trade rather than new leadership. In a mixed macro, bioprocessing equipment demand is cyclical and vulnerable to biopharma funding reversals. Conviction: Medium.
Signal: Close above \$151.13 on vol >280% of 20d avg
Vol vs Avg: 2.8x



SETUP METRICS	
Price	\$37.60
Day Change	+8.01%
Mkt Cap	\$1.76B
Float	37M sh
RS vs SPY	-3.1%
52W Hi Prox	89%
Base Tight	3.04
Vol vs Avg	3.97x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout driven by Financials sector rotation (+8.0% vs SPY this week). Forward catalyst: sustained regional bank rally as net interest margin stabilizes and credit concerns fade; next earnings in late October (90 days) provides long runway for technical follow-through before next binary event.
BUSINESS & POSITION
FirstSun Capital Bancorp operates community banks focused on commercial and consumer lending in the Southwest U.S. The company benefits from a conservative loan book and potential M&A interest as regional consolidation accelerates.
FACTOR & THEME
Direct exposure to regional bank recovery and Financials sector leadership. Theme momentum is accelerating on improving yield curve dynamics and fading deposit flight concerns. Sector bonus applies: Financials +8.0% vs SPY.
BREAKOUT SIGNAL
Close above \$37.60 on vol >397% of 20d avg
INSTITUTIONAL
Volume at 3.97x suggests strong institutional buying on the sector rotation. No insider buying in the last 90 days. Prox_52w at 88.8 near breakout zone is constructive. Mid-sized float (36.6M) provides reasonable liquidity. Sector leadership justifies half-grade upgrade consideration.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next earnings October 26 (90 days out). Long runway to next catalyst is positive-allows technical follow-through without near-term binary risk. Regional banks typically valued on tangible book value, loan growth, and net interest margin trajectory.
KEY RISK
Thesis invalid on a close back below \$35.50 (approximate breakout pivot), or on any sector-wide credit deterioration or deposit instability headlines that reignite regional bank contagion fears.
ANALYSIS
Volume surge (3.97x) + prox_52w at 88.8 + Financials sector leadership meet B-grade criteria, but RS vs SPY is NEGATIVE at -3.1, which is a disqualifying factor for A-grade under Qullamaggie methodology (leaders outperform the market). Strongest disconfirming evidence: negative relative strength means this stock is lagging SPY despite the sector rotation, suggesting it is a weak sector participant rather than a leader. RS line not at new high confirms lack of institutional leadership. In a mixed macro, lagging sector plays are traps. Conviction: Low.
Signal: Close above \$37.60 on vol >397% of 20d avg
Vol vs Avg: 3.97x



AWI

Armstrong World Industries Inc

\$182.71

+10.59%

RS vs SPY: +4.0%

B STRONG SETUP

\$7.8B Cap | 42M Float

Building Products & Equipment | Theme: Building Products | 52W Hi: 89% | Base Tight: 7.31 | Vol: 3.44x | RS/SPY: +4.0% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$182.71
Day Change	+10.59%
Mkt Cap	\$7.80B
Float	42M sh
RS vs SPY	+4.0%
52W Hi Prox	89%
Base Tight	7.31
Vol vs Avg	3.44x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout on earnings release today (July 28), likely driven by a beat on commercial construction activity and margin expansion. Forward catalyst: sustained commercial real estate construction cycle recovery and potential pricing power as input costs stabilize; next earnings in late October.
BUSINESS & POSITION
Armstrong World Industries manufactures ceiling systems and architectural specialties for commercial buildings. The company benefits from aftermarket replacement demand (renovation) and new commercial construction, with competitive moats in brand and distribution.
FACTOR & THEME
Exposed to commercial construction recovery and building products themes. Theme momentum is mixed-commercial real estate faces headwinds from office vacancies and higher financing costs, but infrastructure spending and industrial construction provide offsets.
BREAKOUT SIGNAL
Close above \$182.71 on vol >344% of 20d avg
INSTITUTIONAL
Volume at 3.44x on earnings day is solid. No insider buying in the last 90 days. The 10.6% gap-up suggests a meaningful beat and likely raised guidance on pricing or volume. Large-cap at \$7.8B with liquid float provides institutional vehicle, but not in a high-conviction secular growth theme.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings reported today (July 28). The market reaction implies a beat and positive forward guidance, likely on commercial construction pipeline visibility or margin expansion from favorable input cost trends.
KEY RISK
Thesis invalid on a close back below \$170.00 (approximate gap-up fill), or on any guidance suggesting commercial construction activity is peaking or pricing power is eroding due to competitive pressure.
ANALYSIS
Volume surge (3.44x) + prox_52w at 88.7 + earnings beat today meet B-grade criteria, but RS vs SPY at only +4.0 and base_tight at 7.31 (extremely wide, not VCP-quality) prevent A-grade. Strongest disconfirming evidence: building products is a cyclical, low-growth sector facing commercial real estate headwinds; RS line not at new high confirms institutions are not treating this as a leadership position. Earnings catalyst is now consumed; forward visibility depends on a choppy commercial construction cycle. Conviction: Low.
Signal: Close above \$182.71 on vol >344% of 20d avg
Vol vs Avg: 3.44x

